



Bata Q2FY23 Results below our expectations.

- **Revenue** at Rs 8297.55mn grew by 35.1% YoY and 15% over Q2FY20. Formal shoes growth over the same period from Q2FY20 was however lower at 8%.
- Bata added 68 stores in Q2FY23 to reach 1956 stores. The growth was mainly led by +30 franchise and +30 SIS stores
- **EBIDTA margins** stood at 19.4% as against 25.9% in Q1FY23 and 19.4% Last year. However is still lower than 27.5% recorded in Q1FY20
- Raw Mat to Revenue stood at 45% v/s 47.1% YoY and was 43.4% on a QoQ basis, basically on account of product mix.
- Other Expenses stood at 22.7% as against 14.6% YoY and 19.6% QoQ on account of fuel inflation, rental and some other costs explained below.
- EBIDTA in absolute terms stood at Rs 1609.07mn up by 35.1% on a YoY basis.
- PAT stood at 511mn as against up by 38% YoY and -57% on a QoQ basis.

Outlook:

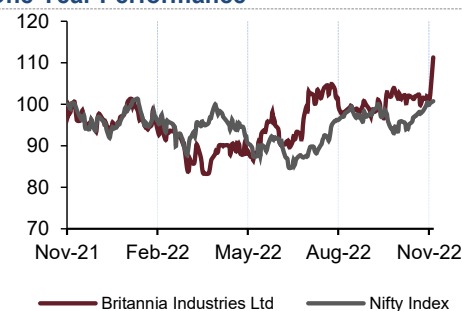
- Premium category grew better than mass eg Floatz +132% QoQ. Formal Shoes growth still slower than other categories.
- Raw Material cooling off will help Bata to re-enter lower price points it had exited.
- Target to open 500 franchise would be accomplished before time.

Rating	TP (Rs)	Up/Dn (%)
SELL	1,550	-11

Market data

Current price	Rs	1,739
Market Cap (Rs.Bn)	(Rs Bn)	222
Market Cap (US\$ Mn)	(US\$ Mn)	2,733
Face Value	Rs	5
52 Weeks High/Low	Rs	2,204 / 1,566
Average Daily Volume	('000)	373
BSE Code		500043
Bloomberg		BATA.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	50.16	52.96
Public	49.84	47.04
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs m n)	FY20	FY21	FY22	FY23E	FY24E
Net sales	30,561	17,085	23,877	36,007	39,836
growth (%)	4.3	(44.1)	39.8	50.8	10.6
EBIDTA	8,321	1,622	4,185	8,270	9,604
Margins	27	9	18	23	24
PAT(adj)	3,290	(847)	1,030	2,994	3,953
growth (%)	(0.0)	(125.7)	(221.6)	190.7	32.0
EPS (Rs)	25.6	(6.6)	8.0	23.3	30.8
P/E (x)	67.9	(263.9)	217.0	74.6	56.5
P/B (x)	11.8	12.7	12.3	15.8	12.8
EV/EBITDA (x)	25.7	131.0	51.1	26.4	22.4

Source: Company

Conference Call KTA's continue

Important Financials

- Volume growth over Pre-Covid was ~6-7% and pricing too 6-7%. Blended growth was 15%.
- Formal category grew 8% over pre-covid v/s overall growth of 15%
- Premium Category better than mass i.e. Floatz +132% QoQ || Hush Puppies and North-star did better than mass. Sluggishness in sales was on account of inflation and rise in GST
- Other Expenses was elevated on account of:
 - some structural issue like high non-performing stores
 - some channel mix related which will resolve with scale 3) Warehouse consolidation will get resolved with higher occupancy
 - Entering newer markets where-in initial spends in freight cost (with higher fuel cost) would be higher
 - Provision of Rs 110mn towards certain pending cases
- AD-Spends were at 2.5%. Directionally would be ~3%
- School business bounced back strongly

SNEAKER Proposition (a pillar of growth)

- Sneaker Studio implemented across 250 i.e. 2x QoQ
- Overall Digital Enabled Sneaker sales grew by 126% Q2FY22

E-COMMERCE

- E-Comm Sales 1.5x Q2FY22 || complains reduced to 5.1% v/s 5.2% QoQ
- Women category grew 1.3x against Q2FY22
- Digital penetration @ 11% highest

STORES & Distribution

- 1950+ Exclusive Stores in 800+ towns
- New/ Relocation of Doors: COCO|Franchise|SIS= 10 || 30 || 28
- 54 Renovations & Facelift in Q2FY23 || 20 more in Q2FY23 || Capex spent on renovation ~2-5mn each expected to generate 7-8% SSG.
- Stores total 1956 v/s 1888 QoQ and 1737 YoY
- Store Q2FY23: break-up 68% COCO i.e. 1284 || 17% Franchise i.e. 323 || 15% SIS i.e. 281
- Store Q1FY22: Break-up 76% COCO i.e. 1292 || 14% Franchise i.e. 234 || 10% SIS i.e. 174
- Franchise Q2FY23 Store additions +30 (**41% growth on a YoY basis and 2x since June-20**) || Towns 300+ || Vision 500 stores
- Towns Covered 1108 v/s 966 YoY and 1079 QoQ (mapped directly)
- 42% distributors reached v/s 39% in June-22.

Other KTA's

- Regional sourcing reached further progress in South wherein a large part of a single category is being sourced from South-region itself.
- Stabilizing Warehouse Operations.
- 15% Retail franchise on flexi manpower.
- Open Shoes to Close Shoes mix = 50:50.
- Outsourcing of warehousing operations to 3PL –pilot implementation.

Technology upgradation happening with new ERP system that automate and standardize merchandise (7000 SKU's) and lead right availability at the right price to the target customer.

Quarterly Financials

Particulars (Rs Mns) Consolidated	Q2FY23	Q2FY22	Growth YoY	Q1FY23	Growth QoQ	Q2FY20	Growth Over Q2FY20
Net Sales	8297.55	6141.21	35.1	9430.18	(12.0)	7219.61	14.9%
Other Income	79.71	114.57	(30.4)	92.68	(14.0)	177.46	-55.1%
TOTAL INCOME	8377.26	6255.78	33.9	9522.86	(12.0)	7397.07	13.3%
Cost of Materials Consumed	-747.23	-704.97	6.0	-821.74	(9.1)	-731.15	2.2%
Purchase of Stock in Trade	-4048.92	-2608.22	55.2	-3604.03	12.3	-3302.91	22.6%
Changes in Inventories	1060.8	419.48	152.9	334.39	217.2	886.15	19.7%
Employee Cost	-1070.45	-896.81	19.4	-1048.22	2.1	-890.14	20.3%
Other Expenses	-1882.68	-1159.62	62.4	-1844.24	2.1	-1230.69	53.0%
EBIDTA	1688.78	1305.64	29.3	2539.02	(33.5)	2031.01	-16.9%
EBIDTA (Excl O. Income)	1609.07	1191.07	35.1	2446.34	(34.2)	1853.55	-13.2%
Less: Depreciation	-735.7	-585.86	25.6	-693.25	6.1	-748.72	-1.7%
PBIT	953.08	719.78	32.4	1845.77	(48.4)	1282.29	-25.7%
Less: Interest Cost	-271.67	-219.56	23.7	-249.04	9.1	-307.7	-11.7%
PBT (Before Exceptional)	681.41	500.22	36.2	1596.73	(57.3)	974.59	-30.1%
Exceptional							
PBT (Post Exceptional)	681.41	500.22	36.2	1596.73	(57.3)	974.59	-30.1%
Tax	-170.31	-129.73	31.3	-403.34	(57.8)	-260.85	-34.7%
PAT (Reported)	511.1	370.49	38.0	1193.39	(57.2)	713.74	-28.4%
PAT (Adjusted)	511.1	370.49	38.0	1193.39	(57.2)	713.74	-28.4%
Equity	642.64	642.64	-	642.64	-	642.64	
FV	5	5		5		5	
EPS (on adjusted PAT)	4.0	2.9	38.0	9.3	(57.2)	5.6	
OPM	19.4%	19.4%		25.9%		25.7%	
NPM (Reported PAT)	6.1%	5.9%		12.5%		9.6%	
Tax Rate	-25.0%	-25.9%		-25.3%		-26.8%	
% of Total Operating Income							
RAW MATERIALS	-45.0%	-47.1%		-43.4%		-43.6%	
Employee Cost	-12.9%	-14.6%		-11.1%		-12.3%	
Other Expenses	-22.7%	-18.9%		-19.6%		-17.0%	
EXPENDITURE	-80.6%	-80.6%		-74.1%		-74.3%	

Source: Dalal & Broacha Research, Company

Valuation

In case of Bata pick-up over Pre-Covid levels is just 15% for Q2FY23 and 10.5% for H1FY23 i.e. on CAGR basis the growth is 5% and 3% respectively which is lower than its long-term CAGR of 7% between CY13 to FY19.

Q2FY23 Margins too have seen a contraction of ~ 600bps points over Q2FY20 due to lower growth in high-margin formal portfolio.

We believe the Brand “Bata” has a solid trustworthy recall value and the management has put-in efforts to connect with the youth and worked on distribution.

However considering the competitive scenario and change in consumer preference; getting back to same levels of CAGR growth with similar level of peak-level margin would take a longer-period of time than anticipated earlier. Hence we expect the stock trade in narrow band.

We have re-worked our numbers post conference call and at CMP of Rs 1739 Bata trades at 75x FY23e EPS of Rs 23.3 and 57x FY24e EPS of Rs 31. **We recommend Booking Profits at these levels. (Target Price Rs 1,550.)**

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Operating Incom	30,561.1	17,084.8	23,877.2	36,007.1	39,836.2	Net Profit	3,289.5	(893.1)	1,029.9	2,994.0	3,952.8
						Add: Dep. & Amort.	2,958.0	2,647.5	2,419.6	3,384.8	3,387.8
						Cash profits	6,247.5	1,754.4	3,449.6	6,378.8	7,340.6
Raw Materials	(12,965.8)	(8,375.0)	(10,868.1)	(16,052.4)	(17,607.6)	(Inc)/Dec in					
Employee Cost	(3,764.2)	(3,398.2)	(3,786.8)	(4,203.4)	(4,539.7)	-Sundry debtors	30.8	(161.0)	76.5	(269.3)	(104.9)
Other Expenses	(5,510.1)	(3,689.8)	(5,037.3)	(7,481.4)	(8,085.0)	-Inventories	(343.1)	2,654.0	(2,626.3)	(1,550.5)	(1,091.0)
Total Expenses	(22,240.2)	(15,463.0)	(19,692.3)	(27,737.3)	(30,232.3)	-Loans/advances	(191.7)	1,238.1	8.5	-	-
Operating Profit	8,321.0	1,621.8	4,184.9	8,269.8	9,604.0	-Current Assets	(276.8)	(489.8)	(228.9)	(195.0)	(298.0)
Depreciation	(2,958.0)	(2,647.5)	(2,419.6)	(3,384.8)	(3,387.8)	-Sundry creditors	(1,126.3)	(636.6)	164.2	1,595.6	596.5
PBIT	5,363.0	(1,025.7)	1,765.3	4,885.0	6,216.2	-Others	(302.0)	163.3	577.7	176.6	184.7
Other income	686.8	940.9	559.9	484.4	381.7	Change in working capital	(2,209.1)	2,768.1	(2,028.2)	(242.5)	(712.8)
Interest	(1,177.4)	(1,035.5)	(928.2)	(1,366.8)	(1,313.4)	CF from Oper. activities	4,038.4	4,522.4	1,421.4	6,136.3	6,627.8
Extraordinary Items	-	-	-	-	-	CF from Inv. activities	(13,513.4)	(285.7)	(3,199.2)	(4,969.0)	(2,691.6)
Profit before tax	4,872.4	(1,120.3)	1,397.0	4,002.7	5,284.5	CF from Fin. activities	10,711.1	(2,907.8)	497.4	(5,402.4)	(1,133.8)
Provision for tax	(1,582.8)	273.3	(367.1)	(1,008.7)	(1,331.7)	Cash generated/(utilised)	1,236.1	1,329.0	(1,280.4)	(4,235.1)	2,802.4
Reported PAT	3,289.5	(847.0)	1,029.9	2,994.0	3,952.8	Cash at start of the year	8,403.1	9,639.2	10,968.2	9,687.7	5,452.6
Extraordinary Items	-	-	-	-	-	Cash at end of the year	9,639.2	10,968.2	9,687.7	5,452.6	8,255.1
Minority Interest	0.0	0.0	0.0	0.0	0.0						
Adjusted PAT	3,289.5	(847.0)	1,029.9	2,994.0	3,952.8						
Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	642.6	642.6	642.6	642.6	642.6	OPM	27.2	9.5	17.5	23.0	24.1
Reserves	18,296.6	16,938.3	17,503.9	13,493.5	16,803.8	NPM	10.5	(4.7)	4.2	8.2	9.8
Net worth	18,939.2	17,580.9	18,146.5	14,136.1	17,446.4	Tax rate	(32.5)	(24.4)	(26.3)	(25.2)	(25.2)
Def. Tax Liab.+Minori	-	-	-	-	-	Growth Ratios (%)					
Longterm Debt	-	-	-	-	-	Net Sales	4.3	(44.1)	39.8	50.8	10.6
Short Term Debt	-	-	-	-	-	Operating Profit	74.4	(80.5)	158.0	97.6	16.1
Total debt	-	-	-	-	-	PAT	(0.0)	(125.7)	(221.6)	190.7	32.0
Lease Liability	10,353.5	8,596.7	8,912.9	10,243.6	9,843.4						
CAPITAL EMPLOYED	29,292.7	26,177.5	27,059.4	24,379.7	27,289.8						
Total fixed assets	3,564.1	3,237.7	3,104.2	3,313.9	3,031.0	Per Share (Rs.)					
Goodwill	-	-	-	-	-	Net Earnings (EPS) (FV 5)	25.6	-6.6	8.0	23.3	30.8
Investments	-	-	-	-	-	Cash Earnings (CPS)	48.6	13.7	26.8	49.6	57.1
Inventories	8,736.8	6,082.8	8,709.1	10,259.6	11,350.6	Dividend	4.0	4.0	4.0	54.5	5.0
Sundry debtors	632.7	793.7	717.2	986.5	1,091.4	Book Value	147.4	136.8	141.2	110.0	135.7
Cash & bank	9,639.2	10,968.2	9,687.7	5,452.6	8,255.1	Free Cash Flow	113.7	40.7	13.2	48.7	54.4
Loans & advances	1,246.6	8.5	-	-	-	Valuation Ratios					
Other current assets	2,066.4	2,556.2	2,785.0	2,980.0	3,278.0	P/E(x)	67.9	(263.9)	217.0	74.6	56.5
Sundry creditors	(5,033.9)	(4,397.3)	(4,561.5)	(6,157.1)	(6,753.6)	P/B(x)	11.8	12.7	12.3	15.8	12.8
O. Current Liabilities	(752.6)	(917.2)	(1,491.2)	(1,640.3)	(1,804.4)	EV/EBIDTA(x)	25.7	131.0	51.1	26.4	22.4
Provisions	(2,245.4)	(1,832.5)	(2,139.3)	(2,469.7)	(2,399.3)	Div. Yield(%)	0.2	0.2	0.2	3.1	0.3
Working capital	14,289.9	13,262.4	13,707.0	9,411.5	13,017.8	FCF Yield(%)	6.5	2.3	0.8	2.8	3.1
Deferred Tax Assets	1,109.9	1,384.0	1,041.6	1,073.3	1,073.3						
Miscellaneous exp.	-	-	-	-	-	Return Ratios (%)					
CAPITAL DEPLOYED	18,963.8	17,884.0	17,852.8	13,798.6	17,122.0	ROE	17.4	(4.8)	5.7	21.2	22.7
						ROCE (Excluding Financial Liability)	28.3	(5.8)	9.7	34.6	35.6
						ROCE (Excluding Cash & Bank)	27.3	-6.7	10.2	25.8	32.7

Source: Dalal & Broacha Research, Company

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